

Property

1. **FREEHOLD ESTATES:** give possession to property until some legal title
 - a. **Fee Simple**
 - i. **Fee simple absolute:** potentially infinite duration.
 - (1) At CL, must state "to grantee & his heirs". Modernly need only say "grantor conveys to grantee"
 - ii. **Fee simple defeasible** (subject to defeat):
 - (1) Fee simple determinable or possibility of reverter: FS estate continuing until happening/non-happening of event, when estate terminates automatically/reverts to grantor. "So long as" "during" "until" "while"
 - iii. **Fee simple subject to condition subsequent:** FS estate may be terminated upon happening or non-happening of stated event or contingency. Grantor has right of reentry. "On the condition that" "but if"
 - iv. **Fee simple subject to an executory interest:** FS whereupon the happening/non-happening, ownership passes from grantee 1 to grantee 2
 - (1) Shifting executory interest (no reversion to grantor) v. springing executory interest (grantee => grantor => passage of time => second grantee)
 - v. **Fee tail:** At CL, usually created by the words "to B and the heirs of his body"
 - (1) Limited to lineal descendants of grantee
 - (2) Grantor could restrict inheritance to particular lineal descendants
 - (a) Lineal heirs (sons, daughters, grandchildren) v. collateral heirs (cousins, nieces, nephews)
 - vi. **Life estate:** freehold estate where the duration is measured by the life or lives of one or more human beings.
 - (1) **A life estate per autre vie:** freehold estate where duration measured by someone other than the grantee.
 - (2) **Dower life estate:** Upon death of husband, widow has life estate in 1/3 of land her husband was seized in FS during marriage.
 - (3) **Curtesy life estate/tenancy by curtesy:** life estate husband entitled to all of wife's lands that wife seized in FS during marriage.
 - (a) Husband/wife had to be legally married, wife must be seized of land in fee simple or fee tail during marriage; wife must have issue born alive by husband; wife predeceases husband.
2. **FUTURE INTERESTS**
 - a. **Reversion:** an estate remaining in the grantor who has conveyed an expirable, lesser estate than that owned by grantor.
 - i. *can also be a contingent remainder that does not vest.
 - b. **Possibility of reverter:** interest retained by the grantor of a determinable estate or FS or FS Determinable. Possibility of reverter ripens into possessory estate upon occurrence of stated event (automatic reversion).

- c. **Power of termination/rights of reentry for condition broken:** created in the grantor subject to condition subsequent (no automatic reversion)
- d. **Remainders:** a future interest created in a 3rd person which is intended to take effect after the natural termination of the preceding estate.
 - i. Remainder takes place after natural termination of preceding estate (vs. executory interest, cuts short)
 - ii. **Creation of remainder:** in favor of transferee (other than conveyor); must be created at same time and with same instrument as prior estate which supports/precedes it; preceding estate of lessor duration than interest of conveyor so there is interest to pass to remaindermen.
 - (1) At CL, preceding estate had to be fee tail/life estate.
 - (2) Modern law: fee tail, life estate, estate for years.
 - iii. **Classification of remainders:**
 - (1) **Contingent:** remainder created in favor of an ascertained person, but it subject to ca condition precedent, or created in favor of an unborn or unascertained person.
 - (2) **Vested:** remainder created in an ascertained and existing person not subject to any conditions precedent except normal termination of preceding estate.
 - (a) **Remainders absolutely vested:** limited to an ascertained/identifiable person w/o words of condition and not subject to divestment.
 - (b) **Remainders vested subject to partial divestment or "remainders subject to open":** remainderman is in existence and ascertained, but amount of her estate is subject to being diminished in favor of other members of a class.
 - (c) **Remainders vested subject to complete divestment:** remainderman is in existence and ascertained and her interest is not subject to a condition precedent but her right to possession or enjoyment on the expiration of the prior interest is subject to termination by reason of an executory interest, power of appointment, or right of entry.
- e. **Characteristics of Remainders**
 - i. Alienable or transferable: at CL considered inalienable/transferable
 - ii. Creditors: contingent remainder is not subject to creditors' claims; but vested remainder is
 - iii. Contingent remainders come within rule of perpetuities, but vested remainders do not.
 - iv. Takes effect: only after natural termination
 - v. Vested remainderman has right against prior estate holder for waste, but not contingent remainderman
 - vi. Vested remainderman has right to compel prior estate owner to pay taxes/interest in encumbrances. Contingent remainder cannot.
- f. **Executory interests:** a future contingent interest created in favor of a transferee in the form of a springing or shifting use which on the happening of contingency

described will be executed into a legal estate and which cannot be construed as a remainder.

- i. Always created in favor of transferee who is someone other than grantor or transferor (not reversion, possibility or reverter, right of reentry)
 - ii. Always contingent, can never become vested
 - iii. Cuts short a prior estate upon the happening or non-happening of a stated event.
 - iv. **Two types**
 - (1) **Shifting**: cuts short/terminates preceding estate in favor of another grantee
 - (2) **Springing**: right to possession passes from grantee, back to grantor, then after lapse of time, to second grantee.
 - g. **Contingent remainder v. executory interest**: Contingent remainder cannot follow fee simple interest of any kind, thus if interest follows fee, then executory interest.
 - h. **Executory devise and executory interest**: devises are identical with springing or shifting executory interest; except are created by will vs. deed inter vivos.
3. **RULE IN SHELLEY'S CASE**: at CL, if in a conveyance/will, a freehold estate (usually a life estate) is given to a person and in the same conveyance or will, a remainder is limited to the heirs of that person, then the grantee takes both a freehold estate and the remainder. Grantee gets remainder and his/her heirs shut off.
4. **DOCTRINE OF WORTHIER TITLE**:
- a. Applies where grantor X, owner in fee, conveys Blackacre to B for life with remainder to X's heirs (remainder here is in the grantor's heirs). Under DWT, at the expiration of B's life estate, remainder to X's heirs is cut off and reversion in fee back to grantor or his heirs (requires the heir to take by descent rather than by purchase/devise)
 - b. Rationale: Title by descent considered worthier than title by purchase/devise.
5. **RULE AGAINST PERPETUITIES**: No interest is valid unless it vests, if at all, not later than 21 years after some life in being at the time of its creation/creation of the interest.
- a. Only contingent interests come under the rule
 - i. Contingent remainder interests
 - ii. Executory interests
 - iii. Options to purchase land (not lease) unless vests w/I 21 years after some life in being
 - iv. Powers of appointment
 - b. *Must vest*: must become vested interest or fail w/I period of rule
 - c. *If at all*: if certain to vest or fail w/I period, it is valid
 - d. *21 years after some life in being*: can't be so numerous as to prevent practical determination of the time when last one dies + 21 years + actual periods of gestation
 - e. *At creation of the interest*: period of rule begins when interest is created
 - f. Directed against remoteness in vesting: *may vest* is not enough.

- g. **E.g., Options to purchase land in the future:** if you see a right of first refusal held by grantor or his/her heirs until some time in the future, then violates the rule. If in grantor's lifetime, then no violation of the rule.
 - h. **E.g., class gifts (remainder subject to open):** if remainder interest is given to a class of persons, vested only when class is closed and all conditions precedent for every member of the class has been satisfied.
 - i. Whole gift is void if one person might violate.
 - ii. Class is closed when no one born after the date can share in the gift.
 - (1) Can close physiologically (grantor dies) or under the rule of convenience (Whenever any member of the class is entitled to demand possession of his/her share).
 - i. **Powers of appointment:** general power to appoint is considered equivalent of ownership of property, hence if one has a general power of appointment over property s/he can exercise such power and alienate/transfer property.
 - i. If one can alienate property, RAP is not offended
 - ii. Must be exercisable (not necessarily exercised) to be w/i rule
 - j. **Restraints on alienation:** provisions in deeds, wills, mortgages that restrict grantee's power to convey to others.
 - i. **Types of restraints:** disabling, forfeiture, promissory
 - ii. **Estate restrained:** Generally, if fee simple interest, any direct restraint is invalid. If lesser estate then commonly upheld.
 - iii. **Extent of the restraint:** can only limit for period of time
 - (1) Restraints on persons are invalid - and restraints from conveyance to certain persons invalid under EP of 14th A.
 - (2) Can be partial or complete
 - (3) Preemptive rights (incl. Right of first refusal) are partial restraint and upheld.
6. **CONCURRENT ESTATES:** ownership/possession by two or more at same time
- a. **Joint tenancy:** each tenant owns undivided interest in whole estate. Right of survivorship - upon death of one, title passes to the other.
 - i. **Creation of joint tenancy:** deed or will, never descent
 - ii. **Requires:** unity of time (vests at same time), title (same instrument), interest (same type/duration), possession (identical rights).
 - iii. Under Modern Law, joint tenancies disfavored, so requires clear expression of intent. Must say "in joint tenancy"
 - iv. **Termination of joint tenancy:** e.g., conveyance inter vivos - one joint tenant conveys his/her interests, then tenancy in common
 - (1) *Conveyance inter vivos*
 - (2) *Suit for Partition:* brought by either of tenants
 - (3) *Mortgages:* (minority follow title theory). However in a lien theory jurisdiction (majority) mortgage is lien and doesn't sever.
 - (4) *Lease does not sever tenancy.*
 - (5) *K to convey of one joint tenancy:* majority says severance, even if no conveyance actually occurs (b/c can be enforced in equity)
7. **TENANCY BY THE ENTIRETY:** based upon unity of husband and wife

- a. Right of survivorship
 - b. Requires: unity of time, title, interests, possession, person in most states neither spouse could dispose, to sever both spouses had to join conveyance
 - c. Termination: conveyance, death, divorce (eliminate unity of person - tenants in common); execution by joint credit of husband and wife (but one credit of one spouse can't levy upon estate owned by the entity).

- 8. **PARTITION:** Neither spouse can partition

- 9. **TENANCY IN COMMON:** each owns an undivided, separate and distinct share of the property. Each tenant can dispose of undivided fractional part or portion by deed or will.
 - a. Unity of possession (each tenant entitled to possession of whole estate)?
 - b. No right of survivorship, her interests descent to heirs upon death.
 - c. **Termination:** partition, merger (entire title vests in one person (by purchase/otherwise); conveyance

- 10. **OUSTER:** One wrongfully excludes the other from possession, then ousted has cause of action to regain possession.
 - a. No fiduciary duty between/among tenants in common.

- 11. **Rights and Duties of concurrent interests:**
 - a. Each tenant has right to possess or enjoy the whole property
 - b. **Rents/profits:** in majority, tenant in possession has right to retain profits gained by her use of property and need not share such profits with tenant out of possession unless ouster.
 - c. **Taxes:** If one pays entire taxes, can compel contribution by co-tenants
 - d. Repairs/improvements: general rule - no right of contribution against other co-tenants for repairs/improvements; but if partition suit in equity court, may consider.

- 12. **LANDLORD TENANT LAW:**
 - a. **Leasehold:** involves the conveyance of an estate and contains covenants that impose mutual contractual obligations. Comes within SoF, so writing must:
 - i. Identify lessor and leasor
 - ii. Describe the leased land
 - iii. State terms of the lease
 - iv. Set for the rent
 - b. Modern leases have many covenants, but most courts treat them more as contracts than conveyances.
 - c. **Tenant duties:**
 - i. Duty to pay rent (consideration). Not apportionable.
 - ii. If destruction of premises (fire, flood, storms), and property uninhabitable, doesn't relieve tenant of obligation to pay rent.
 - iii. Rent extinguished by: Release by landlord, merger, expiration of lease, eminent domain
 - (1) If all leased land condemned for full balance of leased term, duty

- to pay is extinguished.
 - (2) If partial/temporary, tenant not excused. [E.g., leased office building and parking lot, if parking lot condemned, tenant isn't excused].
- iv. **Constructive eviction:** Material breach by the LL violating tenants implied covenant of quiet enjoyment/renders premises uninhabitable, tenant must quit premises in a timely fashion.
- v. **Frustration of purpose** (modernly): complete or almost complete frustration of purpose, relieves tenant.
- vi. **Surrender:** either by express agreement, tenant surrenders & landlord permits the surrender.
- vii. **Duty to repair:** tenant has duty for ordinary repairs on premises. Tenant cannot commit waste/damage on the leased premises.
 - (1) **Voluntary waste:** injury to premises or land caused by affirmative act by tenant (life or term), unless prior use had been made beforehand. Tenant is liable.
 - (2) **Ameliorating waste:** physical change by unauthorized act of tenant but increases value (builds new building). Tenant not normally liable.
 - (3) **Permissive waste:** injury to premises/land b/c tenant failed to act when it was duty. Has duty for ordinary repairs.
 - (4) **Equitable waste:** injury to reversionary interests in land, inconsistent with good husbandry and recognized only by the equity court and isn't legal waste.
 - (a) E.g., equity court can enjoin tenant, but not award damages
 - (b) "Without impeachment of waste" appears in lease.
- d. **Duty of care:** must determine category of person:
 - i. No duty to trespassor, unless anticipated/discovered then owe dangerous conditions
 - ii. Licensee: duty to warn of known, dangerous conditions
 - iii. invitee: duty to inspect/make safe.

13. LANDLORD DUTIES

- a. **Duty to deliver possession of premises**
 - i. American rule: LL no obligation to actually deliver. Lessee has no legal interest until acquisition/taking. If trespasser holdover tenant (tenant at sufferance), exclusive remedy is against wrongdoer).
 - ii. English rule: eviction by LL reaches covenant of quiet enjoyment, relieves tenant of rent obligation
- b. **Implied covenant of quiet enjoyment:** eviction by LL reaches covenant of quiet enjoyment, relieves rent.
 - i. Actual eviction: LL/title holder excludes
 - ii. Constructive: conduct/neglect making uninhabitable
- c. **Premises suitable for particular purpose:** LL does not impliedly warrant that leased premises are suitable for any particular purpose and isn't liable for dangerous conditions, except:

- i. LL knows/should know and tenant isn't likely to discover (tenant, guest, invitee, licensee)
 - ii. Completely furnished for short period: LL impliedly warrants fitness. If injury, tenant can recover against LL.
- d. **Duty to repair:** At CL, absent statute/covenant in lease, LL has no duty. Tenant does. LL may be liable if LL undertakes to repair and negligently repairs.

14. **TYPES OF LEASEHOLD ESTATES:**

- a. **Tenancy for a term/a year:** fixed duration in the lease
- b. **Periodic tenancies:** period to period, month to month
 - i. Automatic renewal: unless party gives notice of intent to terminate
 - ii. Failure to give notice: usually by statute, if not in compliance with statute, ineffective and automatic renewal
- c. **Tenancy at will:** terminable at will of either party
 - i. At CL required advance written notice
 - ii. Continues until terminated by a party
- d. **Tenancy at sufferance:** holdover tenant
 - i. Liability: under doctrine of relation back, liable for period of wrongful holdover to LL

15. **ASSIGNMENT AND SUBLEASE**

- a. Absent express provision, tenant can freely transfer leasehold interest
 - i. Complete transfer of remaining estate, "assignment"
 - ii. If part of her lease, "sublease"
- b. **Effect of an assignment:**
 - i. Tenant: leasehold between tenant and LL; tenant assigns; tenant is still in privity of K with LL (no privity of estate), so if assignee fails, LL can recover against tenant.
 - (1) Assignee & LL: privity of estate and K; assignee is bound to pay original covenants.
 - (2) Effect of second assignment: assignee 1's privity of estate with LL ends, unless assignee 1 assumes covenants under the lease, no privity of K.
- c. **Sublease:** no privity of estate between LL & subleasee, but tenant sublessor is in both privity of estate & K.
 - i. No legal relationship between LL & subleasee.
 - ii. Subleasee not liable to LL for rent.
- d. **Assignment by LL of reversionary interest:** (sale of occupied apt)
 - i. Recognition of new LL by tenant: attornment
 - ii. Covenants against assignments/subleases strictly construed
- e. **Fixture:** For a chattel to become real property:
 - i. Annexor must intent chattel become fixture. To determine intent: nature of article, manner of annexation to the land, injury to the land, completeness with which chattel is integrated with use to which the land is being put, relation of land to tenant (licensee? Owner)
 - ii. Must be annexed actually or constructively

- iii. Must be appropriated for the purpose which the land is used
- iv. Trade fixtures: chattels annexed to the land by tenant for pecuniary gain during her tenancy (removable by the tenant).

16. **RIGHTS IN THE LAND OF OTHERS** - non-possessor interests or incorporal interests in real property

- a. **Profits/profit a prendre:** Right to go onto someone's land and remove something
- b. **Easements:** right to go on someone's land and make limited use of it
 - i. **Easement appertinent:** dominant tenement has right to enter servient tenement and make use of easement. Runs with the land.
 - ii. **Easement in gross:** One servient tenement (personal) - e.g., city runs telephone pole across your front lawn. Runs with the land.
 - iii. **Two classifications:**
 - (1) Affirmative easements: require easement owner to make affirmative use of servient tenement.
 - (2) Negative easement prevents servient tenement from doing something: e.g., not interfere with another's ocean view.
 - iv. **Creation of easement:** W/I SoF, generally in writing, unless:
 - (1) Easement by implication/implied easement/easement by necessity:
 - (a) Grant: grantee must only show reasonably necessary
 - (b) Implied reservation: easement benefits grantor. Grantee must show the easement is strictly necessary.
 - v. **Easement by prescription/prescriptive easement:** like gaining title to property by adverse possession: must have adverse use, open, notorious, continuous for statutory period.
- c. **Termination of easement:**
 - i. **Merger:** fee simple title to both servient and dominant comes into hands of a single person.
 - ii. **Written release:** Holder of benefit easement can execute release.
 - iii. **Abandonment:** clear showing by dominant owner that she intends to abandon.
 - (1) Mere non use won't extinguish. But non-use + intent will.
 - (2) Excessive use doesn't extinguish, but servient tenement owner must bring action of injunctive relief.
 - iv. **Prescription:** servient tenement owner uses land continuously/interruptedly for statutory period inconsistent with/adverse to easement w/o consent.
 - v. **Destruction of servient:** if easement is in structure, and involuntary destruction (fire/flood)
 - vi. **Estoppel:** Dominant owner says he's no longer going to use; servient tenement owner reasonably relies and acts inconsistent with the easement; dominant one can't come back and say "just kidding."
 - vii. Condemnation/eminent domain: modern view: termination by condemnation or eminent domain, holder of easement is entitled to compensation for value lost (also applies to profits).
- d. **Licenses:** privilege to permit one to come onto land; generally revocable at the

- option of the licensor, unless coupled with an interest. (Not an interest in land).
 - i. Cf. Tort status as invitee (if you're paying customer, you are invitee and owner owes you two-fold duty of care).
 - e. **License coupled with irrevocable interest:** E.g., A sells B potatoes on B's land. A gives B permission to get them.
 - i. Cf. License is not a lease.
 - ii. Cf. License is not an easement (substantial non-possessory interest, must be in writing, SoF)
 - f. **Covenants running with the land:** contract-easement hybrid.
 - i. Covenant attached/connected with estate, can be enforced by successors in interest.
 - ii. To create: Covenant/writing complies with SoF; intent of covenantor/ee that covenant run with the land ("assigns" or "successors" = clear intent)
 - iii. Touch & concern land: make land more valuable, less valuable, or curtail utility
 - g. **Enforceable:** at law (like K). Sometimes in equity, but generally at law
 - h. **Terminated:** like easement/profit: merger, abandonment, estoppel, release
17. **EQUITABLE SERVITUDE:** restriction on the use of land enforceable in equity.
- a. Writing compliant with SoF
 - b. **Intent:** intent to determine who may/may not enforce; intent to bind with servitude
 - c. **Notice:** transferee/grantee must take with actual or constructive notice of existence. Can't be enforced against someone who gives value and has no notice of existence of servitude.
 - i. Notice by actual notice, record notice; inquiry notice: subdivisional scheme/common development (90 deeds contain notice, 10 don't.)
 - d. How to impose:
 - i. **Declaration of restriction:** filed with record's office (signed, acknowledged, recorded, evinces intent to restrict). Once filed, constructive notice.
 - (1) Once declaration of restriction, each lot bound, and any lot owner can enforce against the other.
 - (2) Cf. Covenant running with land, but: in CRL - privity of estate required. Also ask: what is the remedy?: Equity - equitable servitude; money damages: covenant running with the land.
 - ii. **Lot owners get together and** execute a formal agreement with themselves
 - iii. **Inquiry notice:** owner restricts some lots, sells them, keeps some and has intent to have common development scheme for all of the lots.
 - e. **Extinguishment of equitable servitude:** (like CRL, profits, easement): release, merger, abandonment, "changed neighborhood conditions" - purpose of servitude is meaningless or impossible b/c of changed conditions (drastic change)
 - i. Zoning does not extinguish
18. **RIGHTS INCIDENT TO POSSESSION AND OWNERSHIP OF land:**

- a. **Adverse possession:** Bars right of recovery and can vest adverse possessor with title to property as though he had deed.
 - i. **Burden of proof on adverse possession:** adverse/hostile use; actual & exclusive (sole physical occupancy); open & notorious; continuous and without interruption for statutory period; and sometimes peaceable required.
 - ii. **Limitation on adverse possessor's claims:** Can't get larger estate than claimed, if AP only claims life estate can't get FS title. AP can only get freehold estate (life, fee tail).
 - iii. **Statutory period:** begins to run with CoA accrues against AP
 - iv. Recording statutes have no application to adverse possession
 - v. **Tacking:** Not need to be continuous possession by single individual, can be tacked from possessor to another
 - vi. **Disability:** If disabled (minority, insane, imprisonment) at time of accrual of cause of action, statute say can toll until disability removed.
 - (1) Honest mistake: (minority) No adverse possession, must be adversely.
 - (2) Majority rule: even if honest mistake, still can acquire by adverse possession.
 - vii. **Support:** right of landowner to have land supported laterally/subjacently is absolute inherent right.
 - (1) **Lateral support:** natural condition, w/o artificial structures; if you withdraws support from neighbor's land is strictly liable.
 - (a) **If artificial structure & land in natural condition would be injured by taking away lateral support, two views:**
 - (i) English (minority): recovery is damage to land & structures
 - (ii) American (majority): damage to land and not structure
 - (b) If negligent excavation, under both rules, D is liable for natural & proximate injuries to land & structure.
 - (2) **Subjacent support:** underneath the surface - same rules:
 - (a) Underground waters: if excavation releases semi-fluid or semi-solid material causes neighbor's land to sink, liability.

19. WATER RIGHTS

- a. Riparian water rights doctrine: all tracts of land which abut/touch water of lake or stream is Riparian. Two rules"
 - i. **Natural flow theory:** Each owner has right to have stream/lake in substantially natural state free from unreasonable diminishment. Each can use for natural/artificial uses, but only on riparian land and doesn't affect quantity-quality.
 - ii. **Reasonable use theory:** Each owner has right o maximum use of lake/stream on riparian or nonriparian land so long as doesn't affect others.
- b. **Natural uses:** necessary for daily sustenance of humans
- c. **Artificial uses:** irrigation, power, mining, industrial

- i. **Majority** (unless they tell you to follow prior appropriation: use of water for natural purposes is paramount and takes precedence over artification except prior appropriate doctrine - prior beneficial use is protected even if unjustly effects lower riparian rights (first in time).
 - d. **Underground/percolating water:** At CL, subject to absolute control/ownership of surface owner (if affects others, too damn bad); under majority/reasonable use theory: can withdraw and must make reasonable use.
 - e. **Surface waters:** CL/common enemy rule: majority of states, landowner has unlimited discretion in dealing with surface waters (common enemy) - regardless of effect on other people (can build dykes, drain water)
- 20. **SURFACE RIGHTS** (subterraneous crops & vegetation, emblements)
 - a. **Natural vegetation** (trees, shrubs), growing crops/chattels attached to land
 - b. **Fructus Naturales** (trees, grasses, shrubs, without aid of man) part of "real property" if trunks/roots on property line then adjoining landowners own it in common. **Passes w/ conveyance of land**
 - c. **Fructus industrialis:** emblements (usually annual crops, sometimes perennial oranges) come from man's cultivation, real property until severed from land
 - d. Tenancy for years, tenant's right to remove crops terminates with tenancy
 - e. If tenant severed crops, but remain on land, PP and belongs to tenant
 - f. Tenancy at will: tenant has reasonable time after termination to remove crops that are planted and growing at time of termination.
- 21. **CONVEYANCES**
 - a. Statute say freehold estates can be conveyed by deed or other instrument. Writing showing intention to convey is honored, if satisfies SoF.
 - i. SoF satisfied if sufficient memorandum signed by person to be charged (**sufficient memorandum if:**)
 - (1) Memorandum identifies parties (grantor/ee); sufficiently describes land conveyed (provides a good lead); if insufficient description, parole evidence is allowed for patent ambiguity (on its face) latent ambiguity (not on face).
 - (2) Purchase price must be included
 - (3) Promises on both sides:
 - (a) Oral promise may be ok if "doctrine of substantial part-performance" applies if: purchaser pays seller part/all of price; buyer takes possession or makes improvements on land.
 - ii. **Delivery and acceptance of deed:** physical transfer not necessary, rather grantor's subjective intent - words, conduct that deed has operative effect (even if right to possession postponed to future time).
 - (1) **Grantor retains deed or grantee gets possession of it.** If grantee has deed, presumption of valid delivery; if grantor, then presumption of no delivery. Majority says parole evidence admissible re: grantor's intent. Recording raising presumption, since delivery precedes recordation.

- (2) **Grantor gives to third person for transmission**
 - (a) Condition delivery is permissible: valid conditional delivery, automatic transfer upon occurrence of condition; A retains title only conditions don't happen.
 - (i) If breach of escrow, grantee wrongfully acquires deed from escrow holder prior to performance of conditions in escrow agreement, title doesn't pass.
- b. **Doctrine of equitable conversation:** (majority) treats interests in land as if land had already been converted to personal property.
 - i. E.g., seller enters sale agreement with Buyer for \$100k. Enter executory real estate sales K. Buyer sells A deposit on 9/1. Closing 11/1. Under DEC, between 9/1 and 11/1, buyer can do title search, seller is deemed equitable owner of balance and buyer equitable owner of property.
 - (1) Risk of loss during this period is on buyer. Should take insurance.
 - (2) If vendor dies, beneficial interest descends and personal property and heir gets legal title he must convey and proceeds to vendor's estate.
 - (3) If purchaser dies, right to receive land goes to heirs but duty to pay is on executrix/administrator.
 - ii. **Marketable title:** absent agreement to contrary, implied undertaking in RE sales K that vendor has marketable title. K usually says vendor will convey marketable title, if not vendee can rescind.
 - (1) Deed supercedes the RE K: if deed contains no warranty of title & vendee knowingly accepts, vendee has no redress b/c deed supercedes
 - (2) Vendor need only deliver on date of closing when conveyance executed purchaser can't rescind RE K before closing date.
 - (3) **Defects** rendering title unmarketable: outstanding mortgages, restrictive covenants, outstanding reverter rights, encumbrances which vendor can't/won't remove and vendee can't remove by app of purchase price; easement on any appreciable part of property; variations on names of grantors/grantees in chain of title; outstanding dower interest.
 - iii. **Boundary line agreements:** oral agreement between adjoining landowners to settle boundary dispute is enforceable (even if no writing).
 - iv. **Covenants in deeds respective title:** Three breached, if at all, when deed is delivered
 - (1) **Covenant for season:** Guarantee that grantor owns estate which deed purports to convey. Breached at delivery. Doesn't run with land. K of indemnity: damage must be shown as a condition precedent to recovery. Breached at delivery, doesn't run with land.
 - (2) **Covenant of right to convey:**
 - (3) **Covenant against encumbrances:** guarantee that property conveyed isn't subject to any outstanding rights/interests that would diminish value in the land. Breached at delivery, doesn't run with land. K of indemnity.

- v. **Breached after deed is delivered:**
 - (1) Covenant on quiet enjoyment: defend grantee against grantor/3rd parties who would actually or constructively evict grantee; run with land; can be enforced by remote grantees.
 - (2) Covenant of general warranty: Id.
 - (3) Covenant for further assurances: grantor undertakes to do some further act w/I power to perfect grantee's title; runs with land, can be enforced by remote grantee.
- vi. **If deed provides for usual covenants, usually:**
 - (1) General warranty: (seisin, right to convey, convey against encumbrance, right to enjoyment, general warranty)
 - (2) Special warranty: usually statutory requirement containing fewer warranties has more limited assurance.
 - (3) Quitclaim deed: contains no assurances or warranties - grantee takes whatever grantor has to give him.
- vii. **Estoppel by deed:** if person executes deed purporting to convey an estate in land he doesn't have or own or larger than he owns, then estate equitably passes to grantee.
 - (1) Majority rule is that subsequent bona fide purchaser prevails over prior grantee.
- viii. **Recording statutes give constructive notice of ownership:**
 - (1) Pure race jurisdiction: first in time
 - (2) Pure notice: Subsequent BFP who pays value w/o notice of any prior conveyances/interests in property prevails whether or not s/he records first.
 - (3) Race-notice: subsequent bona fide purchaser who paid value w/o notice of any prior conveyances who records first prevails.
 - (4) *Only BFP get protection under recording statutes.

22. **MORTGAGE:** security interest in land for performance/payment on debt
- a. When you take out mortgage: promissory note (evidence of debt) + mortgage (security for debt)
 - b. **Title of parties; Mortgagor:** property owner who takes out mortgage with bank. On MBE, to see if buyer is personally liable for outstanding mortgage, look at deed. If deed says "buyer assumes," then buyer liable. If deed is silent, or says land subject to mortgage, then not personally liable.
 - c. Mortgages come within recording statutes and must be recorded to protect mortgagee. Possible that if mortgage isn't recorded & mortgagor conveys property to buyer w/o notice or mortgage in notice or race-notice, then buyer can take property free/clear of mortgage if mortgagee fails to record.
 - d. **Equity of redemption:** mortgagor takes out \$500k mortgage, then mortgagor defaults. After default & before mortgagee brings foreclosure action, CL lets mortgagor pay off mortgage debt & reacquire title.